

HEDGEYE DAILY DIGEST

Thursday, September 17, 2026 (GMT+8)

Hedgeye went into the Fed decision with the same posture it has carried for weeks: **short bonds, short bond proxies, and short the crowd's book**. Keith McCullough's framing is that the US market is not crashing in aggregate, but two things inside it already are — **long-duration Treasuries** and the **retail-owned factor complex**, where the High Retail Investor Sentiment basket has round-tripped from **+23% to -3% YTD**. The **VIX** closed above the **16.55 TREND** level after panic **SPY** put buying took 10-day calendar vol from **12 to 20**, but the call is “wait and watch”, not front-run. The new work is in the country long/short book: **Brazil added back long, Spain long vs. Switzerland short**, and the **Canadian dollar long broken and on its way out**.

Coverage note: this digest covers the Hedgeye publishing session of Wednesday, September 16 (EDT), which lands overnight into Thursday, September 17 GMT+8. “Yesterday” covers the September 15 EDT session.

Today's Publications

EARLY LOOK — “SIGNALS: HOW TO NOT DIE IN MARKETS”

Keith McCullough | Early Look | 09/16/26 07:33 AM EDT (09/16 19:33 GMT+8)

McCullough opens with a Taylor Sheridan riff — *How To Not Die In Prison* — and turns it into a risk-management sermon for anyone who has been in “portfolio prison since the end of May.” His central claim is that the answer to “is the US stock market crashing?” is **no, not in aggregate** — but that framing misses where the damage actually is. Two areas are in genuine drawdown: **US Treasuries** as a major macro market, and **factor exposures inside the US equity market**.

The most quantified point is the retail complex. The **High Retail Investor Sentiment basket fell another -2.0%** in the prior session and has moved from **+23% YTD to -3% YTD** — a **26-point reversal** from the retail peak on **May 28, 2026**. For anyone expressing that exposure through leverage the damage is materially worse: **SOXL (3x Semis Bull) fell -17% on Monday on over 101 million shares traded**.

The prescriptive content is blunt. Don't bag-hold **TLT** or a retirement account that looks like 40% bonds. Don't bag-hold what the CNBC-defined retail investor owns. The comparison he reaches for is **1999** — with the caveat that most of that cohort “died in markets back then and never came back,” while a new generation is getting the same education now.

Investment implication: the range set is internally consistent with the house view — **bullish UST10Y yield** (bearish bonds), **bearish HYG and LQD**, **bearish Russell 2000**, **bullish Healthcare, Software and Oil Services**, and a **bullish VIX** with the top end now at **18.78**. Notably **Gold has moved back to bullish TREND** from neutral the prior day, while **Silver stays bearish** and **Copper has recovered to neutral**.

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Risk Range™ Signals — 09/16/26

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.77 - 5.09	Bullish
High Yield (HYG)	78.15 - 78.95	Bearish
Investment Grade Corp Bonds (LQD)	103.5 - 105.4	Bearish
S&P 500 (SPX)	7521 - 7747	Bullish
NASDAQ Composite (COMPQ)	25813 - 26611	Neutral
Russell 2000 (RUT)	2847 - 2947	Bearish
Health Care (XLV)	162 - 174	Bullish
Expanded Tech-Software (IGV)	100 - 109	Bullish
Oil Services (OIH)	401 - 437	Bullish
Volatility Index (VIX)	14.89 - 18.78	Bullish
U.S. Dollar Index (USD)	98.80 - 99.94	Neutral
WTI Crude (WTIC)	91.53 - 109.45	Bullish
Natural Gas (NATGAS)	2.70 - 2.98	Neutral
Gold Spot (GOLD)	4241 - 4453	Bullish
Copper Spot (COPPER)	6.20 - 6.69	Neutral
Silver Spot (SILVER)	61 - 66	Bearish

KM'S TOP 3 THINGS — RATES, COUNTRIES, VIX

Keith McCullough | The Macro Show | 09/16/26 08:30 AM EDT (09/16 20:30 GMT+8)

RATES. Fed day, and McCullough's point is that the market front-ran it weeks ago. The **UST 2-year** — Hedgeye's "Fed Front-Runner Signal" — is breaking out to higher cycle highs with the top end of its Risk Range now at **4.75%**, and the **10-year top end has shot up toward 5.09%**. The signal he is waiting for is **lower highs in bond yields**, marking the market pricing a policy mistake (hiking into a slowdown). That signal has **not arrived**.

COUNTRIES. While the tourists watch the Fed, the real work is in the rest-of-world long/short book. Shorts: **Qatar (QATAR)** — the longest-standing, **down another -1.5% overnight** — plus **India (INDA)**, **Australia (EWA)** and **Switzerland (EWL)**. Longs: **Colombia (COLO)**, the longest-standing long, and recently re-added **Brazil (EWZ)**.

VIX. Breakout or no breakout, against the **TREND level of 16.55**. VIX closed above it after the crowd panic-bought SPY puts, driving **short-dated 10-day calendar vol from 12 to 20**. Two-sided conclusion: equities could squeeze higher against that panicked hedging, or vol keeps breaking out — either way, follow the vol signals.

Immediate-term ranges cited: SPX 7521-7747; UST 10yr yield 4.77-5.09%.

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THE MACRO SHOW — SUMMARY NOTES, WEDNESDAY SEPT 16

Keith McCullough & Daryl Jones | 09/16/26 10:13 AM EDT (09/16 22:13 GMT+8)

Positions mentioned — BULLISH: Colombia (COLO), Brazil (EWZ), Spain (EWP), Gold, Canadian Dollar (CAD), Meta (META), Microsoft (MSFT). **BEARISH:** US Treasury bonds, Utilities (XLU), Qatar (QATAR), India (INDA), Australia (EWA), Switzerland (EWL), Russell 2000 (IWM).

Rates. Short bonds remains the core position because the inflation model still shows inflation accelerating. Strategy is to **short bonds on bounces** and stay short **bond proxies including utilities**, tied explicitly to an expectation of **upside CPI surprises through Q4**.

Global equities. The long/short country book is expanding. **Qatar is down roughly 16%** from the original short setup. **Colombia** has been a major winner but recently generated a signal introducing more risk. **Brazil was re-added** to the long book. A specific relative-value pair was named: **long Spain (EWP) vs. short Switzerland (EWL)**, with Spain hedging the Swiss short after it initially moved against him.

VIX. Closing above **16.55 TREND** raises the probability of a higher-vol regime, but the explicit call was “**wait and watch.**” A move **above roughly 19** would mark the genuine regime shift into “Chop.” Later in the show the top end of the VIX range had risen to **18.78**, with **implied vol vs. 30-day realized at 84%**.

Mega-cap tech — risks turning stock-specific. **Tesla is Bearish TRADE and TREND; Nvidia is close to turning Bearish TREND** — the two riskiest names in the group. **Amazon** has gone Bullish to Neutral to **Bearish TREND** and is a major contributor to Consumer Discretionary weakness; **Google** has failed its trend signal. Against that, “**we like Meta,**” and **Microsoft would be bought on the dip** — selective exposure, not indiscriminate dip-buying.

Russell 2000. Still short after a fall to a **three-month low**, but the position was **trimmed by roughly 25 basis points** — a trim, not a reversal.

Gold. Back to **Bullish TREND** after avoiding a confirmed trend break, but the position **stays at minimum size until it reclaims 4,361**, the medium-term TRADE level. **Copper** is sitting on its trend level; the approach is to follow whatever signal it prints next.

Canadian dollar. The long “probably would not be” on by the end of the day — and later in the show he confirmed **CAD had broken trend**. The most significant live position change discussed.

Inflation and the 2027 setup. The quarterly inflation NowCast could move back toward **~3.67%**. Sequencing matters more than level: inflation **higher first, then falling sharply — potentially cut roughly in half by mid-next-year**. That sets up the Fed **tightening into a slowdown**. Many of today's longs are likely to become tomorrow's shorts, but the book should not transition until the signals confirm it.

Wealth effect. US net wealth rose roughly **\$9 trillion in Q2**, supporting risk-taking and spending — but higher rates, weaker speculative assets and Fed tightening should now start working the other way. Q3 US economic strength should be read as **backward-looking**, not extrapolated.

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CAPITAL ALLOCATION PRO — DAILY DASHBOARD | MODEL PORTFOLIOS

Andrew Nanai & David Salem | 09/16/26 09:18 AM EDT (09/16 21:18 GMT+8)

Model Portfolio changes take effect using **closing prices on Monday, September 14, 2026**. **Trend and Tail levels for the 68 tracked ETFs** were refreshed using **August 28** closing prices, per the standard 3-4 week update cycle. A **ticker substitution** was made: **BNO (Brent)** and **USO (WTI)** added to coverage; **MBB (mortgage-backed)** and **PFF (preferred/income)** removed. A **Key Callouts video** was recorded on **10 September**.

ETF PRO PLUS — 3 NEW CHANGES

ETF Pro Plus | 09/16/26 10:37 AM EDT (09/16 22:37 GMT+8)

Adding Long: Energy Sector (XLE) and **Ethereum (ETHA)**. **Removing Long: Canadian Dollar (FXC)**, range **70.02-71.01** — the direct portfolio expression of the CAD trend break discussed on the Macro Show.

MOMO TRACKER — MAG7 (-0.65%), NFLX=BEARISH

Christian Drake & Ryan Ricci | 09/16/26 08:30 AM EDT (09/16 20:30 GMT+8)

Chart-led dashboard with no accompanying narrative text. Headline signals: **Mag7 down -0.65%**, **Netflix (NFLX) flips BEARISH**, with focus on **VIX**, **short-dated volatility** and **systematic (vol-control / CTA) sensitivity** — consistent with the calendar-vol spike from 12 to 20 flagged elsewhere.

SIGNAL STRENGTH STOCKS — 42 STOCKS (6 ADDED, 5 REMOVED)

Signal Strength Stocks | 09/16/26 12:02 PM EDT (09/17 00:02 GMT+8)

Added: FSLY, PM, DDOG, MDB, PANW, VLTO — note the software/security cluster (DDOG, MDB, PANW, FSLY), which lines up with the long-Software-over-Semis stance. **Removed: COIN, AR, CRCL, KMX, RRC**. Net count moves from **41 to 42**.

Yesterday's Publications

EARLY LOOK — “HEDGEYE FOR FINANCIAL ADVISORS”

Keith McCullough | Early Look | 09/15/26 07:43 AM EDT

What: A framing piece on AI, advisors and the bond-yield breakout, built around Jeff Hawkins' *A Thousand Brains* and its “AI summers and AI winters” cycle. McCullough's line: **“We're coming out of the most expensive AI summer in market history... Winter is coming.”**

Why: Rising yields are the binding constraint. The named macro hedges (shorts) are **TLT, ZROZ, LQD, JOJO, XLU**. The process rule is stated plainly: **TRADE breaks, reduce. TREND breaks, stop out.**

Who: Long **Software (IGV, OKTA, NOW)**, not **Semis (DRAM)**; long **Healthcare (XLV)**, up **+1.5%**, against short **Industrials (XLI)**, down **-1.4%**, shorted two ways via **XLI and PRN**. **AVGO** and **TER** cited as crashing semis. **KOSPI down another -0.9% overnight**, now **-27.3%** from its #MOAB high.

Key numbers: Bond-yield levels that matter — **4.98%** was the 2023 cycle high, **5.29%** the 2007 cycle high, with the Risk Range top end then at **5.05%**. **Gold's Alpha Code = 4395/4251 (TRADE/TREND)**; below **4251**

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the last of the minimum-size gold position stops out.

Takeaway: Either inflation does not slow enough for the Fed to hold, or the bond market has already hiked for them. Buy the insurance before the hurricane, not after.

THE MACRO SHOW — SUMMARY NOTES, TUESDAY SEPT 15

Keith McCullough | 09/15/26 10:25 AM EDT

What: The session where the book got materially more defensive.

Why: Signals deteriorated broadly — the signal list ran roughly **80 shorts vs. 46 longs**, and ETF Pro about **20 longs vs. 15 shorts**.

Who: **Russell 2000 (IWM)** became an **official short** on a large lower high. **Meta flipped Bearish to Bullish**, described as the biggest bullish breakout among mega-caps. **Gold Miners (GDX)** sold entirely, following prior full exits from **Copper Miners (ICOP)** and **Silver (SLV)**. **SanDisk removed** on a trend break; **Micron (MU)** short, **CoreWeave** under scrutiny. Long **Singapore (EWS)** and **Spain (EWP)**; short **India (INDA)** and **Australia (EWA)**. Long **Corn** and **Wheat**; **Bitcoin** — “buy the dip.” Euro position exited.

Key numbers: Long book cut from **~30 names to ~20-21**. **XLI down -8.3% QTD vs. XLV up +5.7%**. A Fed hike was priced at roughly **94%** for the following day. **MOVE Index** in the low-80s; negative gamma with a T reading around **-3**. S&P 500 down in **five of the previous six sessions**. Semis at **~17-18% of the S&P 500** — Hedgeye's semi exposure is **0%**.

Takeaway: Semiconductors are “the epicenter of the bubble,” and an attractive Quad setup does not justify a position unless the directional signal confirms it — the reason Hedgeye is not long Turkey or the Philippines despite favourable Quads.

OTHER YESTERDAY ITEMS

Various | 09/15/26

MOMO Tracker (09/15, 09:38 AM EDT): “AI Winter Hits Crowded Semis as Software and Healthcare Take Leadership” — the rotation thesis in a headline.

Signal Strength Stocks (09/15, 11:03 AM EDT): 41 stocks, **2 added (COIN, SPCX)**, **7 removed**.

ETF Pro Plus (09/15, 10:23 AM EDT): 5 new changes.

Capital Allocation Pro (09/15, 08:47 AM EDT): Daily Dashboard | Model Portfolios.

Crypto Quant (09/15, 07:06 AM EDT): **BTC -2.6%**; 24/7 to 24/5; **BMNR at 5.96M ETH (4.9% of supply)**; CLARITY Act facing a Democratic counter-proposal. *(Full article could not be loaded — summarised from the headline.)*